The world in brief

Catch up quickly on the global stories that matter

Photograph: AP

American **stocks** steadied after falling in morning trading. The S&P 500 largely recovered after falling by more than 1%, and the tech-heavy NASDAQ rose slightly too. Investors had been spooked by soaring oil prices. Earlier finance ministers from G7 countries met to discuss the energy crisis and decided not to release emergency petrol reserves, but said they "stand ready" to do so.

Anthropic is suing **the Pentagon** for labelling it a "supply-chain risk". The designation, which blocks the AI firm from defence work, has never been applied to an American company before. Pete Hegseth, America's secretary of war, blacklisted Anthropic last Thursday after the company refused to remove limits on its technology being used for autonomous weapons or domestic surveillance.

Vladimir Putin, Russia's president, congratulated **Mojtaba Khamenei** on being named as Iran's supreme leader and touted his "unwavering support" for the Iranian regime. The elevation of Mr Khamenei—the son of the assassinated Ayatollah Ali Khamenei—is the clearest sign yet that the regime is still functioning and defiant. His appointment was decided by the assembly of experts, 88 regime-approved clerics.

Hizbullah said its fighters confronted Israeli helicopters carrying out a raid on **Lebanon** in the early hours on Monday. Israel, which has been bombing areas controlled by the Iran-backed militia for the past week, has not confirmed the attack took place. Earlier Lebanon's health ministry said 394 people had been killed by Israeli bombardment. Meanwhile Israel launched more strikes on Iranian infrastructure, including oil fields.

NATO air defences intercepted a ballistic missile fired at **Turkey** by Iran, according to Turkish officials. Meanwhile America evacuated some nonessential staff from a consulate near Adana, in southern Turkey, and urged its citizens to leave the region, fearing Iranian attacks on a nearby NATO base. It is the second such alleged attack. Turkey accused Iran of firing a missile at it last week.

Britain's prime minister, Sir Keir Starmer, warned that extended conflict in the Middle East would put pressure on the British economy. Traders increased bets that the Bank of England will raise interest rates this year in response to surging energy prices. Sir Keir also defended his initial refusal of America's request to use British bases for attacks on Iran, which he has since reversed.

Balendra Shah, a rapper-turned-politician, is set to become the prime minister of **Nepal**, after his party won more than half of the parliamentary seats in Thursday's election. Mr Shah's Rastriya Swatantra Party gained prominence as an anti-establishment voice after last year's Gen Z revolution unseated the government. His victory breaks the dominance of Nepal's ruling parties, which have cycled in and out of government in recent years.

Figure of the day: 29, the number of countries that feature in our glass-ceiling index, which ranks how women fare in the workplace in each society. Read the analysis.

Photograph: EPA

The Iran war becomes a test of wills

Many residents of Tehran spent Sunday huddled indoors. An overnight Israeli strike on fuel-storage depots left a cloud of toxic black smoke over the capital. The war between America, Israel and Iran, now in its second week, is only intensifying. Iran has continued to fire missiles and drones at Gulf states, despite the president's pledge to halt such attacks. One drone hit a desalination plant in Bahrain; Saudi air defences shot down another 21 aimed at a major oilfield.

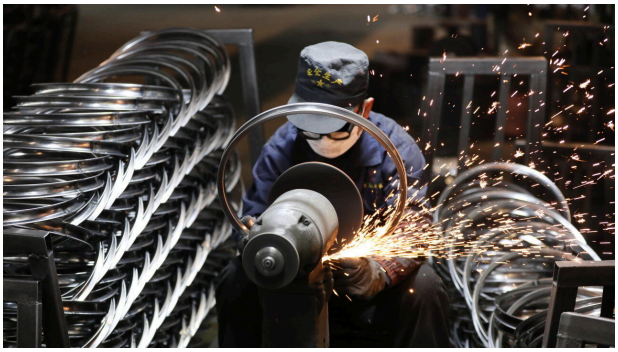
America's president, Donald Trump, has called for Iran's "unconditional surrender", a demand roundly mocked by Iranian leaders. Meanwhile, the Assembly of Experts, a body of regime-approved clerics in Iran, named Mojtaba Khamenei as Iran's supreme leader. He will replace his father, Ali, who was killed in an Israeli strike last month. Before the announcement, Mr Trump warned that the elder Khamenei's successor may meet the same fate: "If he doesn't get approval from us he's not going to last long," he said.

Photograph: AP

Turkish democracy back in the dock

Ekrem Imamoglu, the deposed mayor of Istanbul, appeared in front of a judge on Monday morning, along with scores of municipal officials and businesspeople. It is Turkey's biggest trial in years, and forms part of a political crackdown. Mr Imamoglu was arrested last March on corruption charges, only days before his Republican People's Party, the country's main opposition, nominated him as its candidate for the next presidential election, which is due in 2028 but could be brought forward to next year.

The party argues the vast list of charges against Mr Imamoglu and over 400 of his co-defendants, set out in an indictment of more than 3,700 pages, are spurious. He faces up to 2,532 years in prison, though the trial could take years. That is probably the point. Turkey's long-time president, Recep Tayyip Erdogan, who has his eyes on another term, trails Mr Imamoglu in most polls. Mr Erdogan would be happy to have his main rival remain behind bars.



Photograph: Getty Images

An unexpected turn in China’s price wars

In fighting deflation, China wills the end but not the means. In a speech to the country’s rubber-stamp parliament on Thursday, Li Qiang, China’s prime minister, promised to bring about a rebound in consumer prices. Demand and supply will be brought into better balance, he said. The government will also discourage price wars and other kinds of “rat-race competition”.

Figures released on Monday showed that consumer-price inflation did indeed rebound in February, assisted by the late spring festival. Prices rose by 1.3% compared with a year earlier, faster than expected but still short of the government’s 2% target. Producer prices, also known as factory-gate prices, fell for the 41st month in a row. Boosting demand by enough to hit the inflation target would require a bigger fiscal stimulus than the government seems ready to offer. But if the Iran war continues to disrupt energy supplies, producer prices will get a temporary lift. China’s price wars could be offset by a real one.

Photograph: EPA

No sign of peace between Afghanistan and Pakistan

The war that broke out between Afghanistan and Pakistan last month shows no sign of relenting. On Saturday the Afghan Taliban, the militant group that controls the country, said Pakistan attacked five provinces in eastern Afghanistan. Pakistani officials said their neighbours targeted the border district of Khyber. Pakistan demands the Afghan Taliban renounce their support for their ideological cousins, the Pakistani Taliban, who have unleashed a wave of violence in recent years.

The strikes have been deadly. Pakistan says it has killed nearly 600 Afghan Taliban and destroyed 280 of the group's border posts. Meanwhile, the United Nations said on Friday that 56 civilians had been killed in Afghanistan, and up to 66,000 people displaced. It added that people on both sides of the border were fleeing "heavy artillery fire". Neither side is trying to de-escalate. Over the weekend Afghanistan's defence minister warned: "If Kabul is attacked, Islamabad will be attacked."

AFGHANISTAN
Kabul
Kunar
Khyber
Pakhtunkhwa
Wardak
Paktia
Khost
Islamabad
Paktika
PAKISTAN
100 km

Photograph: Alamy

A contested legacy: the “Wealth of Nations” at 250

Monday marks the 250th anniversary of the publication of the bible of economics. Adam Smith’s sprawling “Wealth of Nations” caused a sensation in 1776. Every self-respecting economist claims to love the book, even if few have actually read it.

The legacy of Smith’s tome remains contested. It does not, as know-nothing pundits claim, encourage selfishness and greed. Smith’s views of human nature were more subtle than many of his modern interpreters assume. The “Wealth of Nations” is instead a scholarly account of how countries become rich, including through the division of labour.

Still, its novelty is overstated. Smith was far from the first to recommend free trade, predictable government policies or the division of labour as a way for countries to prosper. Is the father of economics a little overrated? Probably. Is Monday’s anniversary still worth celebrating? Definitely.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Monday: Which was the second and last Bond film to feature Timothy Dalton?

Time is a great teacher, but unfortunately it kills all its pupils.

Hector Berlioz